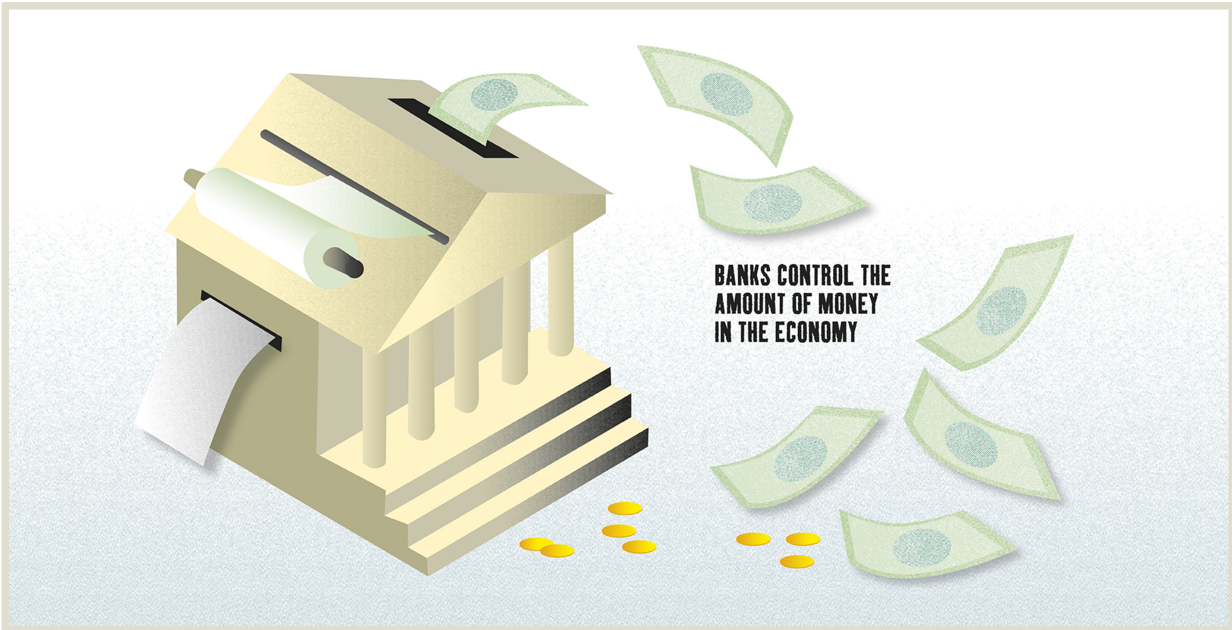

Creating money
Central banks control the money supply, that is the amount of money in the economy. They can decide to create more money to lend, which increases the amount in circulation.

Keeping control

Of course, the business of “creating” money like this has to be very carefully regulated, and there are laws about how much the banks can add to the money supply. In most countries, the banks are overseen by a central bank set up by the government, such as the Bank of England or the US Federal Reserve. The central bank controls the amount of money in circulation by deciding how much the banks can lend compared to their reserves, and the amount of interest they can charge. The central bank itself can lend money, for example, to a bank that needs to pay out more than it has in reserve. The central bank can also increase the money supply directly by printing more money—or adding it electronically—which it can lend to governments or corporations. Creating money in this way is known as “quantitative easing.”

But if the banks can make money apparently from nowhere, then so can more unscrupulous dealers. Probably the most famous of these was the Italian businessman Charles Ponzi, who operated an illegal scheme during the 1920s